the signs of becoming a leading economic power. Industiral development in India can be divided into two phases.

The Government successively increased its control over different economic sectors during the first phase (1947-1980). In the second phase (1980-97) it took measures to liberalise the economy between 1980 and 1992. These measures were somewhat adhoc. After 1992, the whole process of liberalisation became more focused and radically different in nature.

68. Statement I: CORRECT—The industrial development in India began with the establishment of first successful modern cotton textile mill at Mumbai in 1854. Since then the industry has witnessed a phenomenal growth. The numbers of mills increased from 378 in 1952 to 1782 by March 1998.

Cotton textiles have an important place in the economy of the country. It provides employment opportunities to a large number of people. About one fifth of the total industrial labour is absorbed by this industry.

Statement II: CORRECT—Production Cotton textile industry comprises of three sectors: mill sector, handloom and powerloom. The share of large mill, handloom and powerloom sector in the total production of cotton cloth in 1998-99 was 5.4%, 20.6% and 74% respectively. The cloth production of cotton textile increased from 421 crore square metres in 1950-51 to 1794.9 crore square metres in 1998-99.

The Cotton and synthetic fibre textile industry has made tremendous progress. Per capita availability of cloth from both the types was 15 metres only in 1960-61. In the year 1995-96, it has risen to 28 metres. This has enabled us to export cotton yarn, cotton fabrics and cotton and synthetic garments on a large seal. In 1995-96 we earned 2.6 billion dollars by their exports.

69. Statement I: CORRECT—Cotton textile industry is one of the most widely distributed industries in our country. These mills are located in more than 88 centres in different parts of the country. But majority of cotton textile mills are still located in the cotton growing areas of the Great Plains and peninsular India.

Maharashtra is the leading producer of cotton textile in the country. Mumbai is the major centre of textile mills. About a half of